

Tourism collapse hits growth

- **Key changes:** We've cut our 2026 GDP growth forecast by 0.5ppts, reflecting expectations of a longer war in Iran and downward revisions to 2025 data that have sapped momentum. Net exports should be the main drag on growth. We've also raised our 2027 inflation forecast to 2.5%, as we now see higher global oil prices and stronger second-round effects.
- **Short-term forecast:** We expect growth to slow this year, but Cyprus should remain one of the fastest-growing economies in the Eurozone. Early Q2 hard data point to a softer quarter, even as the headline Economic Sentiment Indicator clawed back some ground in May.
- **What to watch out for:** The duration of the US-Israel war with Iran and geopolitical tensions more broadly remain the key near-term risk for the economy, especially for the tourism sector. Spillovers into other inflation components could build if the crisis lasts longer than we expect. Legislative elections produced no major surprises and shouldn't disrupt the government's work, though populist and extremist parties are gaining traction.

Table 1: Cyprus forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	3.6	3.9	3.8	2.2	2.4	2.6
Private consumption	6.0	4.0	3.3	3.5	3.4	2.4
Industrial production	1.7	2.4	4.8	0.7	0.9	1.1
Employment	3.9	1.7	2.2	1.1	0.4	0.1
Unemployment (%)	5.9	4.9	4.4	4.1	4.1	4.1
Government balance (% of GDP)	1.7	4.1	3.4	3.1	2.1	1.0
Gross government debt (% of GDP)	71.1	62.7	55.0	49.9	45.5	42.6
Current a/c balance (% of GDP)	-9.7	-8.1	-6.2	-8.2	-6.5	-6.0
Consumer prices	3.6	1.8	0.1	3.3	2.5	1.8
Bank's deposit rate (% EOP)	4.0	3.0	2.0	2.5	2.0	2.0
10yr govt. bond yield (% EOP)	3.2	3.1	3.2	3.6	4.0	4.0
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18
Exchange rate (euro per £, EOP)	1.15	1.18	1.17	1.14	1.10	1.10

Source: Oxford Economics

Baseline forecast

Recent developments

Cyprus opened 2026 with quarterly GDP growth of 0.2% in Q1, broadly in line with our 0.3% expectation. However, revisions to the 2025 growth path shaved 0.2ppts off momentum heading into 2026. On top of that, the less optimistic outlook on the war led us to cut 2026 growth by 0.5ppts to 2.2%.

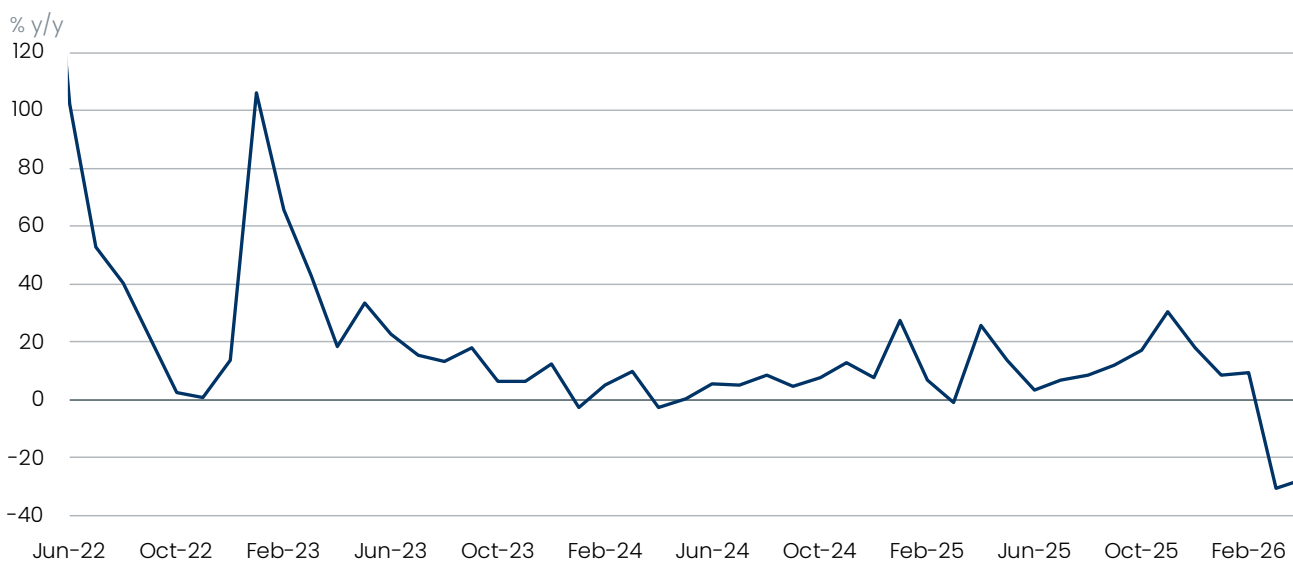
We revised our 2027 inflation forecast up, as we now expect global oil prices to stay higher, which would amplify second-round effects.

In May, elections were held for 56 of the 80 parliamentarians. Overall, the main parties held their share, meaning the government shouldn't face major issues in governing until the next elections in 2028, but some populist and far-right parties are gaining traction.

High-frequency data are a mixed bag. Hard data through April paint a gloomy picture, with retail trade slowing to 2.8% y/y from 5.7% in March. The hardest-hit sector appears to be tourism, with arrivals down by more than 32% y/y ([Chart 1](#)).

Chart 1: Tourists arrivals contracted after the war

Cyprus: Tourists arrivals



Sources: Oxford Economics, Haver Analytics

Surveys showed a marked drop in March and April, dragged down by consumer confidence, but the headline Economic Sentiment Indicator partially recovered some lost ground in May. Construction and services maintain a relatively upbeat tone, while industry and retail trade are at multi-year lows.

We think growth will slow in Q2 before catching up as geopolitical tensions gradually fade. Export services should contract markedly, but we expect a recovery in H2.

Short-term forecast

We expect GDP growth of 2.2% in 2026 and 2.4% in 2027. Cyprus will likely remain one of the fastest-growing economies in the Eurozone. Domestic demand will still support real GDP growth, despite the expected

acceleration in inflation. Fixed investment should grow materially in 2026 after a marginal contraction in 2025. The series is volatile and significantly affected by a few large orders, leading to substantial fluctuations in historical data and forecasts. The NextGen EU programme should continue to support government investment. Overall, we maintain our positive outlook on Cyprus' investment environment. The main downside risk to our growth forecast stems from the external sector. A small and open economy such as Cyprus is highly dependent on global demand, and a slowdown in world GDP growth will affect it negatively. What's more, its proximity to the Middle East could be an additional negative factor.

Policy assumptions

Fiscal policy. Cyprus's public finances are in good shape, with the primary balance firmly in surplus at 4.5% of GDP in 2025. We expect the fiscal stance to loosen gradually over the coming years, while government debt continues its steady decline.

Monetary policy. The European Central Bank has clearly signalled that it's preparing to act. Hawkish signals from ECB officials, together with comments at the April meeting and the rise in inflation in May, have increased the likelihood of a 25bp hike at the June meeting. We continue to expect the June hike to be followed by another in July, taking the deposit rate to 2.5% by the end of 2026.

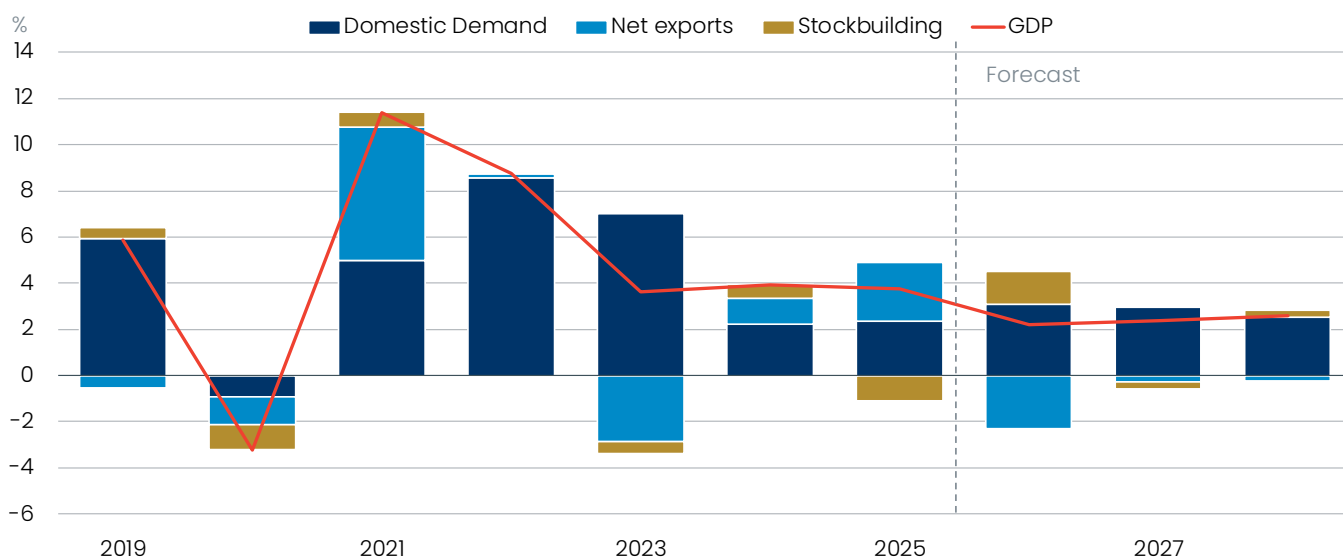
We expect the ECB to remain reactive after the initial hikes. If energy prices normalise and the growth hit becomes more visible, we'd expect rate cuts in 2027, bringing the deposit rate back to 2%. But risks are tilted toward more tightening if the Middle East conflict proves to be longer than expected or inflation expectations rise further.

Key drivers of short-term forecast

Domestic demand will drive growth. Private consumption should continue to grow healthily, albeit at a slower pace than expected, as the robust labour market will partly shield real disposable income from inflation. We expect net exports to be a major drag in 2026, with a contribution of -2.3ppts, although not as negative as in 2022.

Chart 2: Net exports will drag the economy

Cyprus: GDP contributions

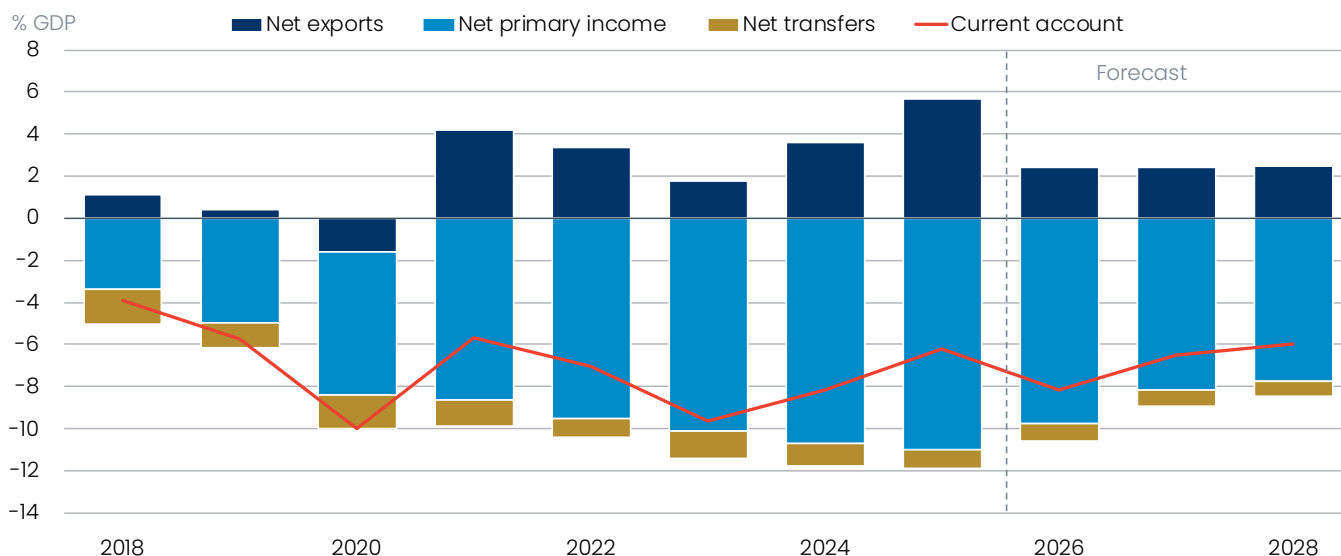


Source: Oxford Economics/Haver Analytics

Current account is still deep in the red. We see the current account deficit widening to 8.2% of GDP in 2026, 2ppts more than in 2025. The main driver will be a drop in net exports, which should fall to around 2% of GDP from almost 6% the year before.

Chart 3: The current account will remain in a deep deficit

Cyprus: Current account balance

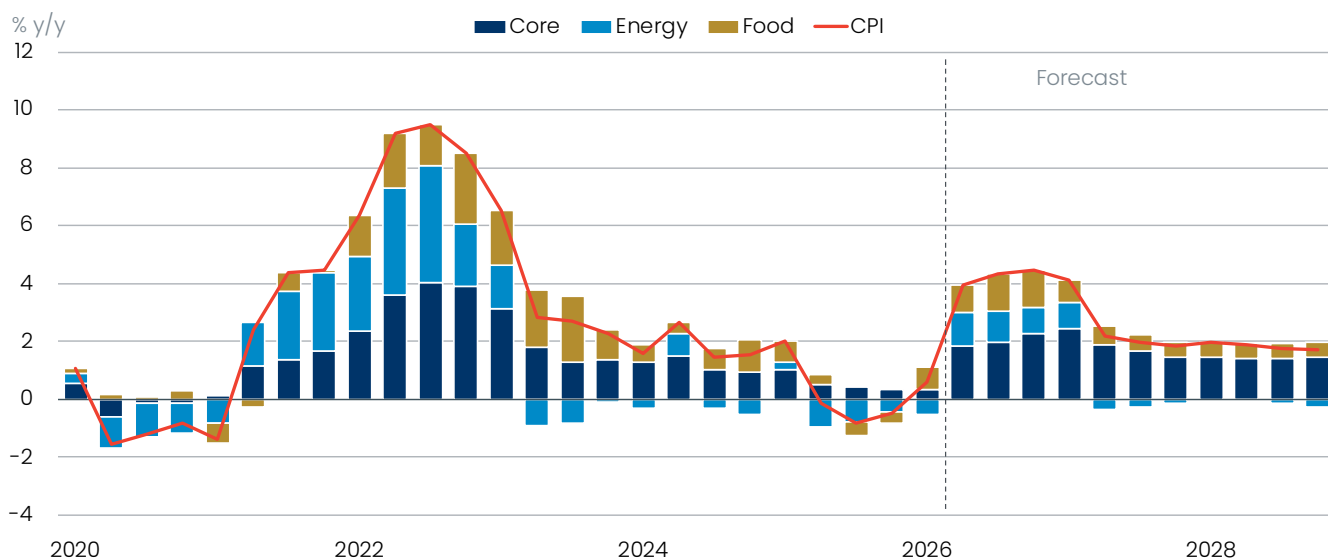


Sources: Oxford Economics, Haver Analytics

Inflation at a three-year high. Inflation, according to the domestic definition, has risen materially in Q1, at 2.6% y/y in May. The harmonised index gives an even worse picture, with the headline index accelerating to 3.7%. All major subcomponents are seeing a marked acceleration. We expect inflation to rise to 3.3% this year, before slowing to 2.5% in 2027, as energy prices will turn into a modest drag. Core inflation will remain above target until 2028.

Chart 4: The inflation surge should reverse next year

Cyprus: Inflation



Sources: Oxford Economics, Haver Analytics

What to watch out for

Tourism. Cyprus' tourism sector has grown markedly over the past few years, even withstanding shocks that made tourism from Russia more complex. However, the setback triggered by the war in Iran could jeopardize the entire sector. This would add downward risks to the balance-of-payments deficit, which remains the Achilles' heel of the Cyprus economy.

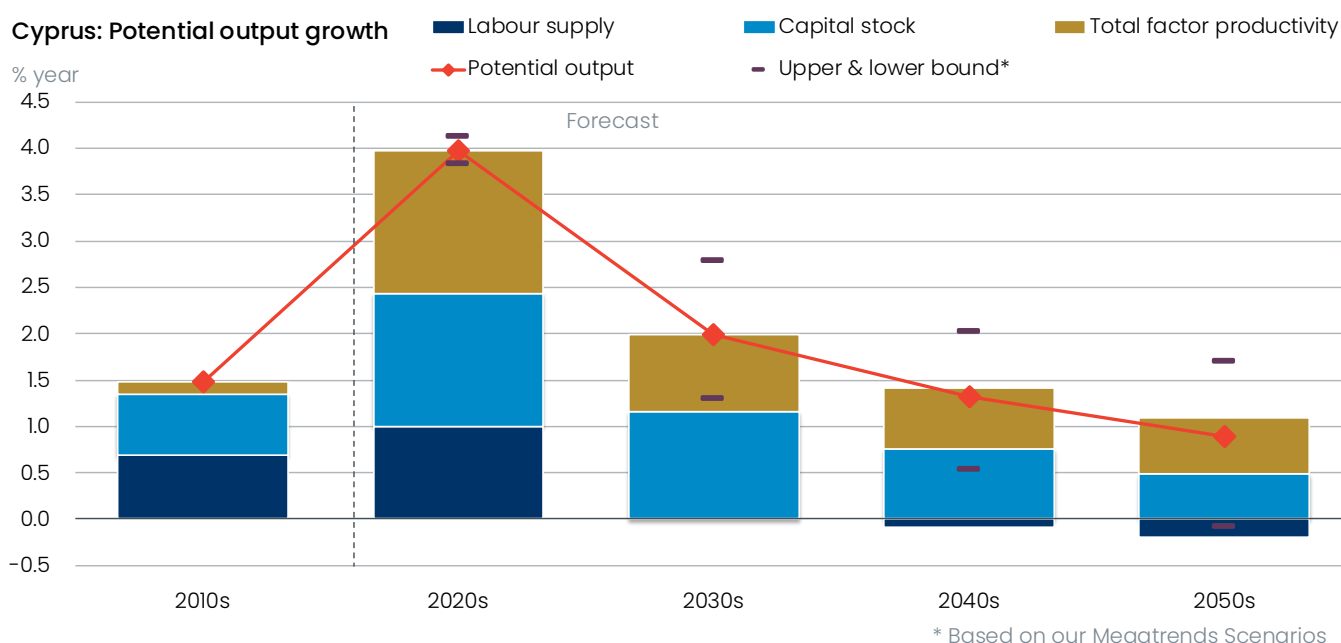
Geopolitical risk. Cyprus sits in a volatile corner of the Mediterranean and was the only Eurozone country to have its territory struck by Iran – albeit a US military base. Its proximity to the conflict, together with long-standing tensions with Turkey, which occupies part of the island, leaves Cyprus among the Eurozone's most exposed to geopolitical risk.

Next elections. Cyprus holds its next general election in 2028. The main risk is a resurgence of populism and euroscepticism, which drove up country-specific risk in the early 2010s. For now, support for the European Union is near all-time highs, backed by more than 80% of the population and opposed by just 13%.

Long-term prospects

We expect Cyprus' potential growth to slow considerably in the coming decades, although it'll remain higher than that of other Eurozone countries ([Chart 6](#)).

Chart 5: Demographics won't support potential growth



Sources: Oxford Economics, Haver Analytics

Growth will largely depend on increases in total factor productivity. The advent of AI will significantly support productivity growth, although we don't expect Cyprus to be among the countries to receive the biggest boost.

The capital stock will also contribute positively, despite the significant uncertainty, as Cyprus' investments are exceptionally volatile. What's more, its geographical position means the investment environment is heavily dependent on geopolitical developments.

Demography will still support potential growth in the 2020s, but population growth is set to slow by the end of the decade and settle at much more modest growth rates. What's more, the working-age population is set to peak soon and start a steady descent thereafter. The steady increase in the participation rate in our forecast will

somewhat cushion the impact of the declining working-age population. However, extremely low fertility rates will remain a heavy burden on potential growth prospects.

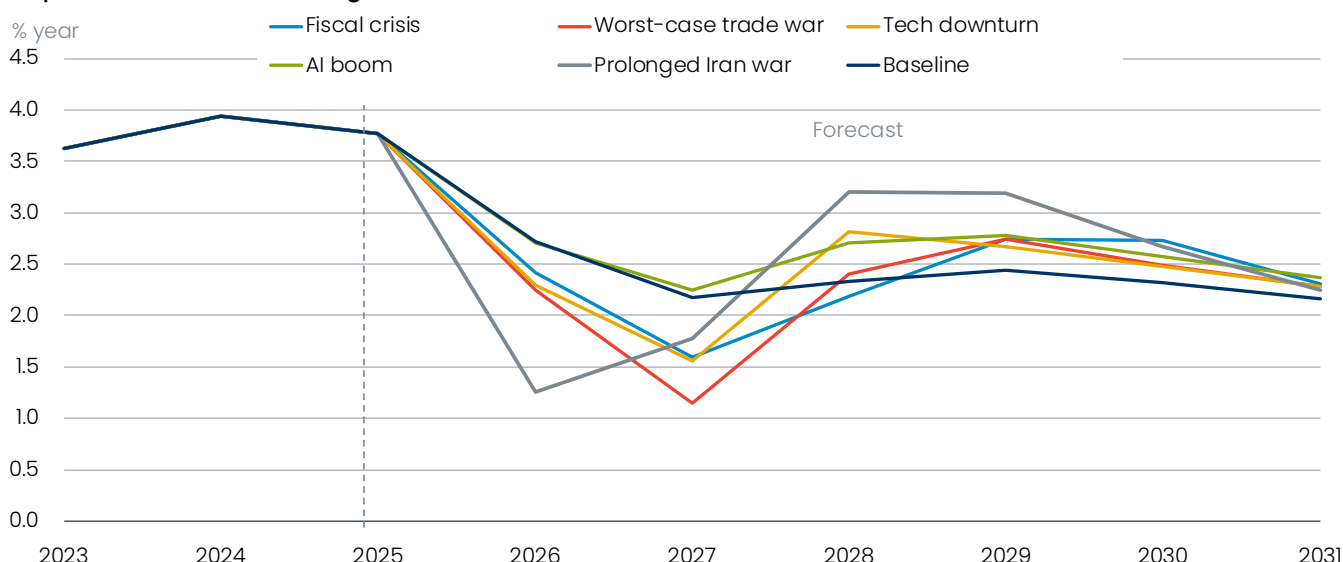
Scenarios

Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade-agreement levels. Affected economies retaliate with corresponding tariffs on US exports. The expected renegotiation of USMCA fails to materialise, keeping tariffs elevated throughout the scenario. The US economy contracts throughout 2026. Disrupted supply chains coincide with higher tariffs, impacting investment. Worsening investor sentiment amplifies the hit to demand. Over the next three years, Cyprus' GDP growth would be 0.5ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 6: A more severe trade war and a tech downturn are key near-term risks

Impact of scenarios on GDP growth



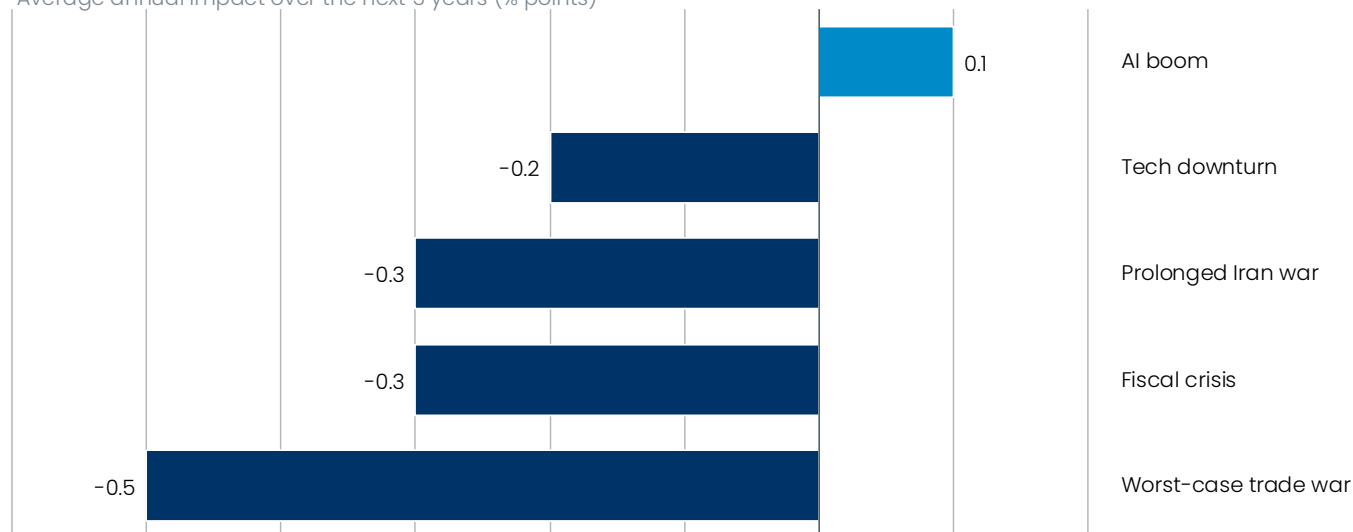
Source: Oxford Economics

Tech downturn. The AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falling stock prices and investment. In financial markets, concerns rise over tech-sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure abruptly ends. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. The main impacts on Cyprus come via worsening sentiment and a weaker US dollar. Over the next three years, Cyprus' GDP growth is 0.2ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 7: Risks are skewed to the downside

Impact of scenarios on GDP growth

Average annual impact over the next 3 years (% points)



Source: Oxford Economics

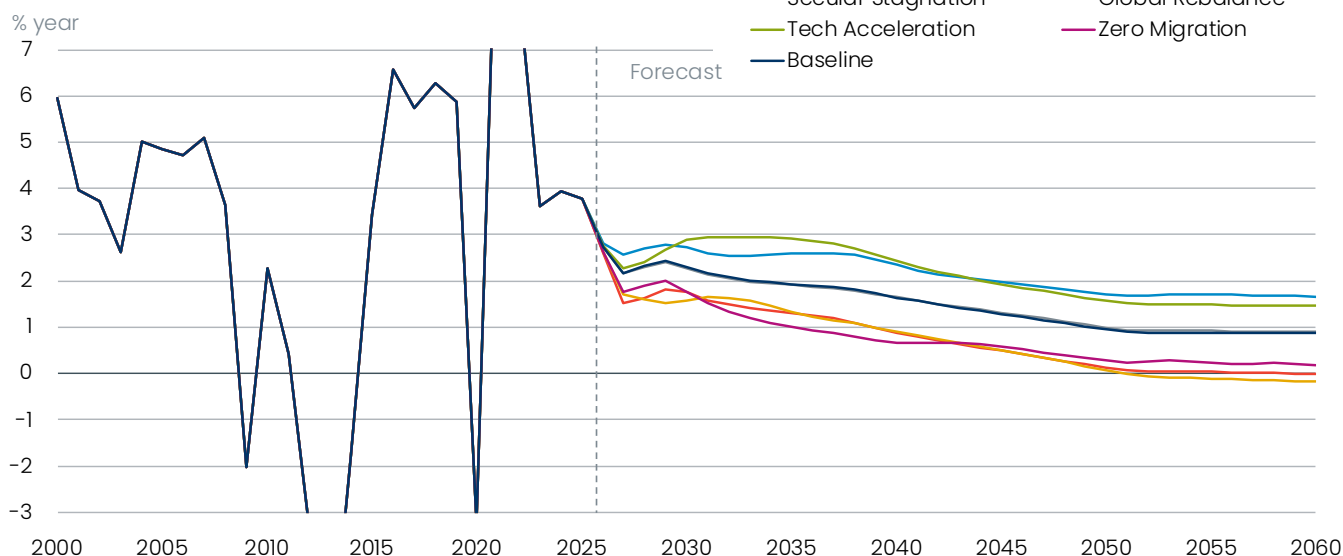
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run paths to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier – mostly advanced economies – benefit first. Productivity gains result in GDP growing 0.6ppt a year more than in our baseline between 2030 and 2060. Nominal and real interest rates would also be higher.

Chart 8: Globalisation and technological progress are the main scenario drivers

Cyprus: GDP growth



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impact on potential output, while poor productivity limits real wage growth and labour participation. Cyprus' GDP grows 0.7ppts below our baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1 = BEST)
Overall	3.6	-0.1	30
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.3	-0.3	45
Sovereign credit	2.8	-0.1	10
Trade credit	6.0	0.0	33

Source: Oxford Economics

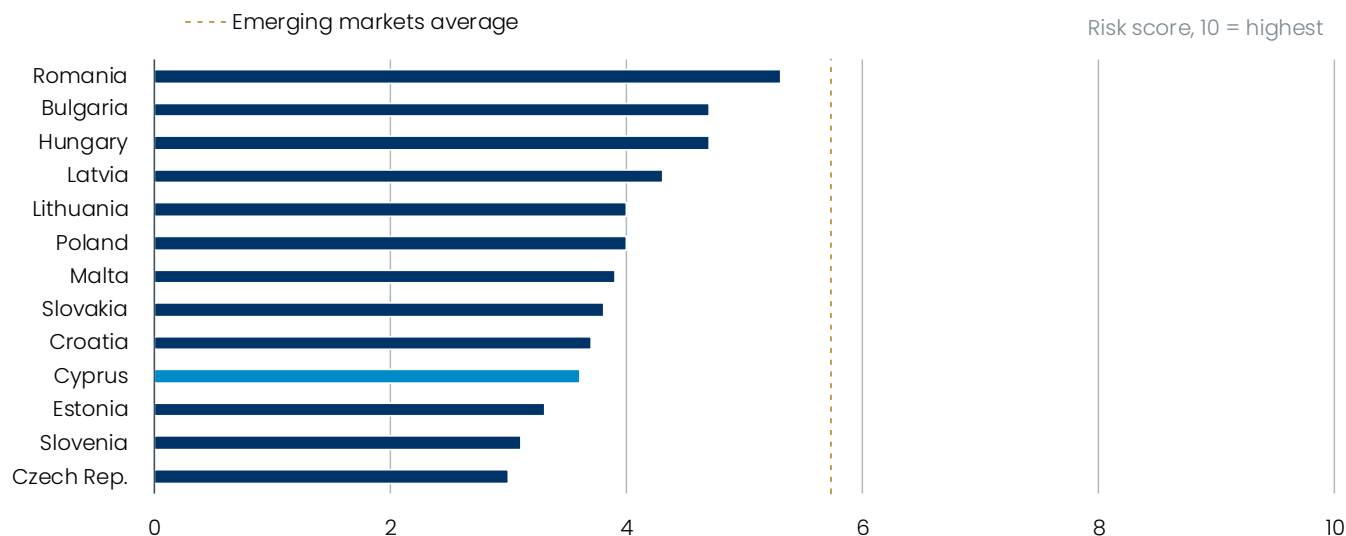
Overall risk for Cyprus: 3.6/10*

Cyprus' overall economic risk score of 3.5 is slightly lower than six months ago. This score is above the Western European average and ranks Cyprus 31st out of the 164 countries in our survey ([Table 2](#)).

In 2017, GDP surpassed its pre-financial crisis level after a long period of austerity and the exit from the International Monetary Fund-EU macro-adjustment programme in March 2016. However, the economy plunged into a deep recession in 2020 due to the pandemic and the resulting containment measures. The economy reached its pre-pandemic level of GDP in Q1 2021 and has maintained solid growth rates since, becoming one of the best-performing economies in the Eurozone.

Chart 9: Cyprus' risk score is below the Emerging markets average

Economic risk: Cyprus vs Emerging markets average



Source: Oxford Economics

Market demand: 3.0/10

The market demand risk score is unchanged at 3.0, below the Western European average.

Domestic demand has been recovering since H2 2020 as economic activity has improved. Russia's invasion of Ukraine negatively affected confidence and tourist arrivals, but the overall impact has proven to be limited. The same applies to other geopolitical tensions in the Mediterranean.

The US-led global trade war will likely have a negative, but limited, impact on Cyprus' economic prospects.

Market cost: 3.0/10

The market cost risk score is still relatively low at 3.0, unchanged from six months ago. Inflation rose due to the energy crisis and strong domestic demand, but is now broadly back at the European Central Bank's target.

Exchange rate: 3.3/10

Under our new methodology, exchange rate risk is at 3.3, in line with that of other Eurozone countries.

The euro surged to US\$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around US\$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Federal Reserve easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at US\$1.17 at end-2026 and US\$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

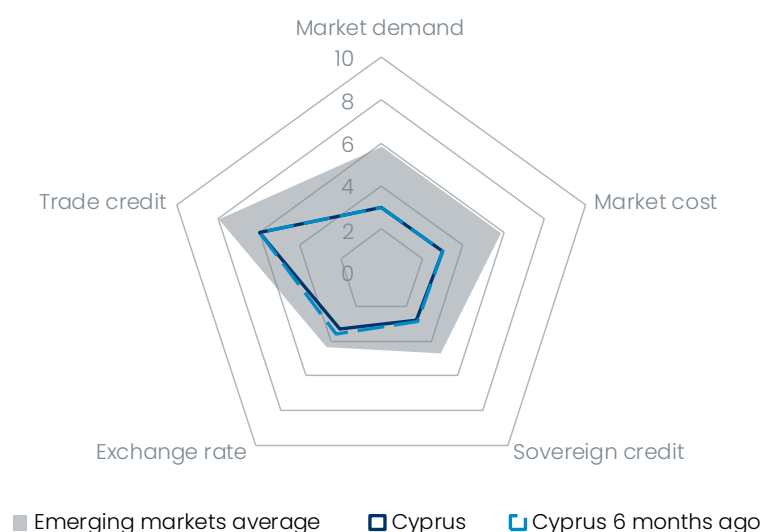
Sovereign credit: 2.9/10

The sovereign credit risk score is 2.9.

Fiscal consolidation has resulted in an improvement in Cyprus' credit ratings. The major rating agencies have raised their ratings and classify Cyprus as investment grade. But external debt, government debt, and non-performing loans still challenge the fiscal outlook. The debt ratio will likely stay on a gradual downward trend, as the fiscal balance is in good shape.

Chart 10: Cyprus' overall risk is in line with that of other Eurozone countries

Economic risk: Cyprus vs Emerging markets average



Source: Oxford Economics

Trade credit: 6.0/10

The score of 6.0 for trade credit risk – a measure of private-sector repayment risk – is elevated compared with the 3.2 for Western Europe.

The private-debt-restructuring framework adopted in 2015 and consequent financial-sector reforms translated into improvements in the banking sector. The non-performing loan (NPL) ratio fell from a peak of 50% in November 2014 to a still-high 10.5% in October 2022. Much of the decline occurred in H2 2018 due to the sale and winding down of Cyprus Cooperative Bank, with a significant portfolio of NPLs being moved to a separate public entity. The extension of credit lines to businesses at the height of the pandemic led to a further reduction in the NPL ratio.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).